Prior Big Four background

Specification	Year FE	+ Client FE	+ Audit firm FE
Audit failure			
Separate regression	-0.0181***	-0.0147**	-0.0077
	(0.0042)	(0.0063)	(0.0084)
Observations (separate)	41,252	41,252	41,252
R-squared (separate)	0.0177	0.2271	0.2334
Outcome mean (separate)	0.0406	0.0406	0.0406
Joint regression	-0.0166***	-0.0133**	-0.0069
	(0.0043)	(0.0064)	(0.0084)
Observations (joint)	41,252	41,252	41,252
R-squared (joint)	0.0179	0.2272	0.2336
Outcome mean (joint)	0.0406	0.0406	0.0406
Restatement			
Separate regression	-0.0111***	-0.0060	-0.0088
	(0.0029)	(0.0043)	(0.0064)
Observations (separate)	41,252	41,252	41,252
R-squared (separate)	0.0158	0.2100	0.2170
Outcome mean (separate)	0.0209	0.0209	0.0209
Joint regression	-0.0104***	-0.0045	-0.0078
	(0.0030)	(0.0043)	(0.0064)
Observations (joint)	41,252	41,252	41,252
R-squared (joint)	0.0160	0.2101	0.2172
Outcome mean (joint)	0.0209	0.0209	0.0209
Violation			
Separate regression	-0.0111***	-0.0104**	-0.0004
	(0.0032)	(0.0049)	(0.0063)
Observations (separate)	41,252	41,252	41,252
R-squared (separate)	0.0086	0.2167	0.2216
Outcome mean (separate)	0.0246	0.0246	0.0246
Joint regression	-0.0100***	-0.0098**	-0.0002
	(0.0032)	(0.0049)	(0.0063)
Observations (joint)	41,252	41,252	41,252
R-squared (joint)	0.0089	0.2168	0.2216
Outcome mean (joint)	0.0246	0.0246	0.0246

Notes: All specifications use the common sample and client controls plus historical exposure controls. Separate regressions include one background indicator; joint regressions include all six indicators. Education and school thresholds are nested: joint coefficients are incremental contrasts. Category rows use mutually exclusive groups and the reference group stated in the row. Column 3 includes year, client and audit firm fixed effects. Standard errors are clustered by client. Education is measured from the available snapshot; Big Four history excludes the focal client. Outcomes use a three-year disclosure window. *** p<0.01, ** p<0.05, * p<0.1.